

ECONOMY

LECTURES



INDIAN BANKING SYSTEM

MODULE - 16

ECONOMY

BANKS



NON-BANKING FINANCIAL COMPANIES (NBFCs)



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BANKS

- ✓ Companies Act, 1956 / 2013
- ✓ Banking Regulation Act, 1949
- ✓ RBI Act, 1934
- ✓ Various Acts for nationalization of banks in 1955, 1970, 1980 etc.

SCHEDULED BANKS AS PER SCHEDULE 2 OF RBI ACT, 1934

- ✓ State Co-operative Banks
- ✓ Primary (Urban) Co-op Banks
- ✓ SBI
- ✓ Nationalized Banks
- ✓ Private Sector Banks
- ✓ Foreign Banks
- ✓ Gramin Banks (RRBs)

NON-BANKING FINANCIAL COMPANIES (NBFCs)

- ✓ Companies Act, 1956 / 2013
- ✓ RBI Act, 1934 (Now, other regulators are entrusted to regulate some NBFCs)
- ✓ Other relevant Acts.

MAIN ACTIVITIES OF NBFCs

- ✓ Business of loans and advances
- ✓ Acquisition of bonds / shares / debentures etc.
- ✓ Business of Leasing
- ✓ Business of Hire Purchase
- ✓ Chit Business

NBFC ACTIVITIES DOES NOT INCLUDE

- X Agricultural activity
- X Industrial activity
- X Purchase or sale of any goods
- X Sale / purchase / construction of immovable property

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AT THE OUTSET ...

BANKS



NBFCs



MAIN DIFFERENCES

1. NBFCs can not accept demand deposits and cannot issue cheques drawn on themselves.
2. NBFCs do not form part of the payment and settlement system.
3. Deposit insurance facility of DICGC is not available for NBFCs.

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TYPES OF DEPOSITS... BANKS & NBFCs

DEMAND DEPOSITS

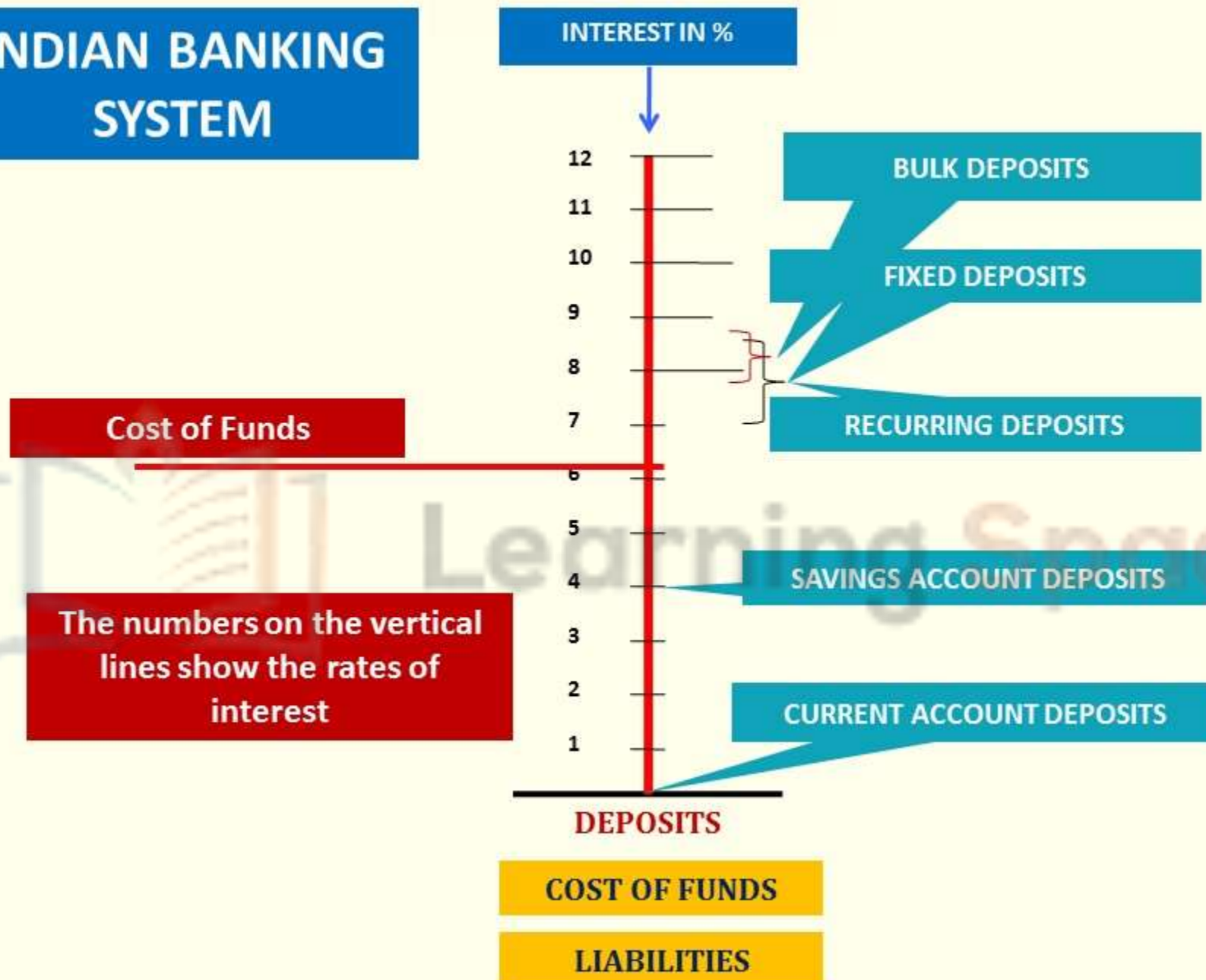
- ✓ All the scheduled banks can collect demand deposits
- ✗ NBFCs cannot collect demand deposits

TIME DEPOSITS

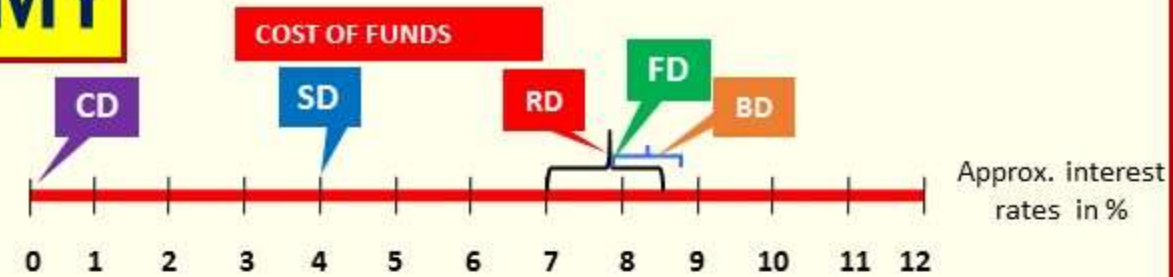
- ✓ All the scheduled banks can collect time deposits
- ✓ ✗ Only the NBFCs as approved by RBI / their regulators can collect term deposits
 - RBI / regulators set certain criteria
 - Credit rating is normally required
 - Subject to several other conditions



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TIME LIABILITIES

- ✓ Fixed deposits
- ✓ Recurring deposits
- ✓ Bulk deposits
- ✓ Cash certificates
- ✓ Time liabilities portion of savings bank deposits
- ✓ Staff security deposits

DEMAND LIABILITIES

- ✓ Major portion of savings account deposits
- ✓ Current account deposits
- ✓ Demand drafts
- ✓ Unclaimed deposits



INDIAN BANKING SYSTEM

yield

INTEREST IN %

18
17
16
15
14
13
12
11
10
9
8
7
6
5
4
3
2
1

PERSONAL LOANS

CORPORATE LOANS

MORTGAGE LOANS

HOUSE LOANS

All the figures are approximate and taken for the purpose of explanation

LOANS AND ADVANCES

YIELD/INCOME

ASSETS

ECONOMY

CASE - 1

Note

The given figures are only approximations

VIABLE BANKING OPERATIONS

AVERAGE COST OF FUNDS 6.3%

AVERAGE YIELD ON ADVANCES 9.3%

NET INTEREST MARGIN (NIM) 3%

The numbers on the vertical lines show the rates of interest

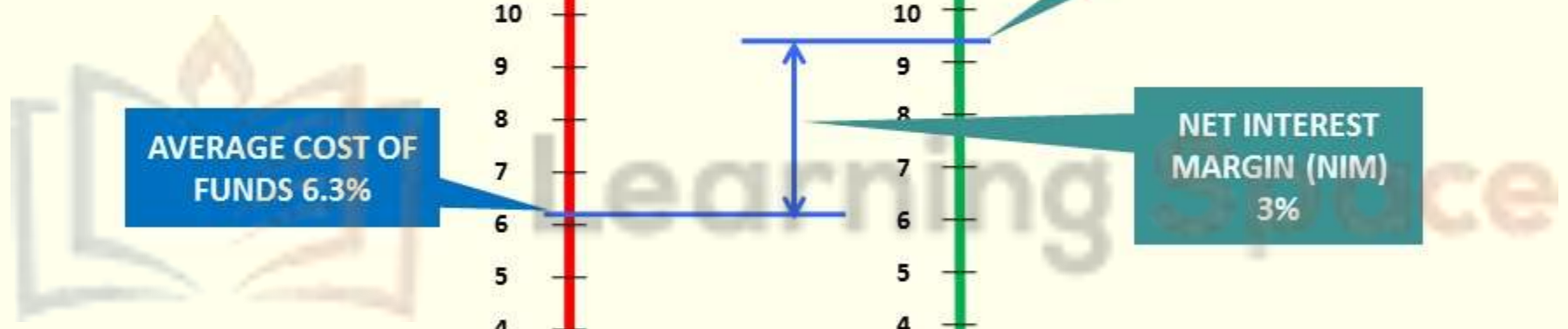
All the figures are approximate and taken for the purpose of explanation

INTEREST ON DEPOSITS (in %)

COST OF FUNDS

INTEREST ON LOANS AND ADVANCES (in %)

YIELD/INCOME



ECONOMY

Note

The given figures are only approximations

CASE - 2

STRAINED BANKING OPERATIONS

AVERAGE COST OF FUNDS 6.8%

AVERAGE YIELD ON ADVANCES 9.3%

NET INTEREST MARGIN (NIM) 2.5%

The numbers on the vertical lines show the rates of interest

INTEREST ON DEPOSITS
(in %)

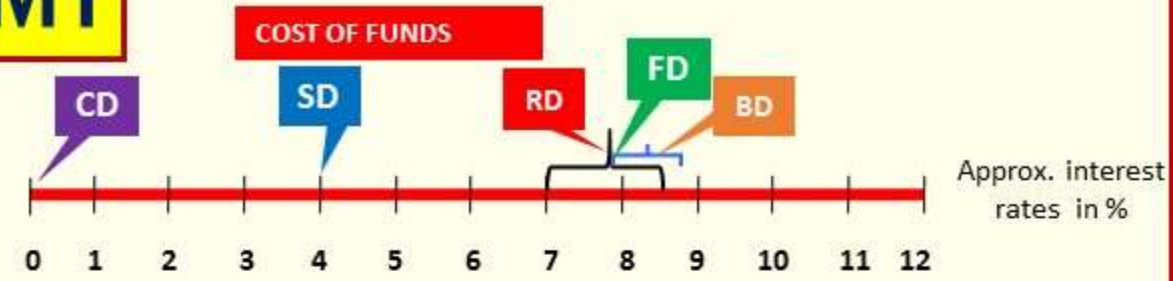
COST OF FUNDS

INTEREST ON LOANS
AND ADVANCES (in %)

YIELD/INCOME

All the figures are approximate and taken for the purpose of explanation

ECONOMY

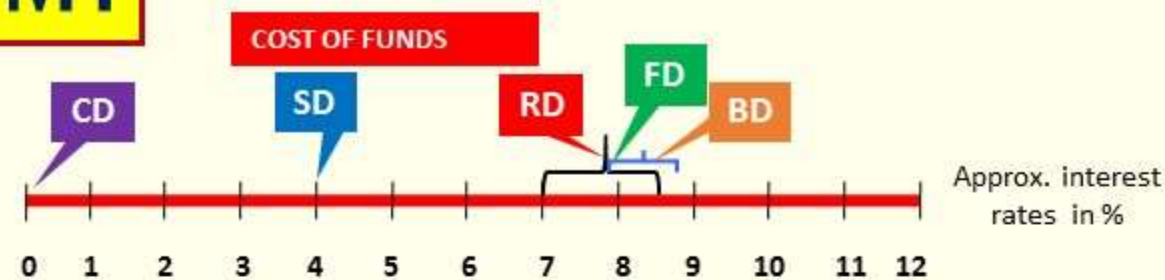


TYPES OF ACCOUNTS

1. SAVINGS ACCOUNTS
2. CURRENT ACCOUNTS
3. FIXED DEPOSIT ACCOUNTS
4. RECURRING DEPOSIT ACCOUNTS
5. BULK DEPOSIT ACCOUNTS

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1. SAVINGS ACCOUNTS



Salient features

- ✓ For individuals / small businesses
 - Idea is to save a little out of their current incomes
 - Also to make them earn some interest on their savings
- ✓ Minimum balance (varies from bank to bank)
 - Normally Rs 500 (without cheque book facility)
 - Rs 1,000 (with cheque book facility)
- ✓ Banks offer zero balance accounts, previously known as No-Frill accounts / BSBDA and now under PMJDY
- ✓ Most of the banks offer 4% on savings accounts deposits.

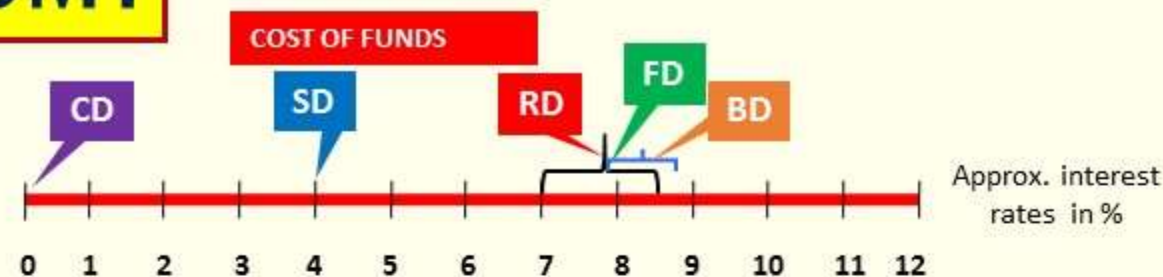


The interest rates on deposits are deregulated long ago

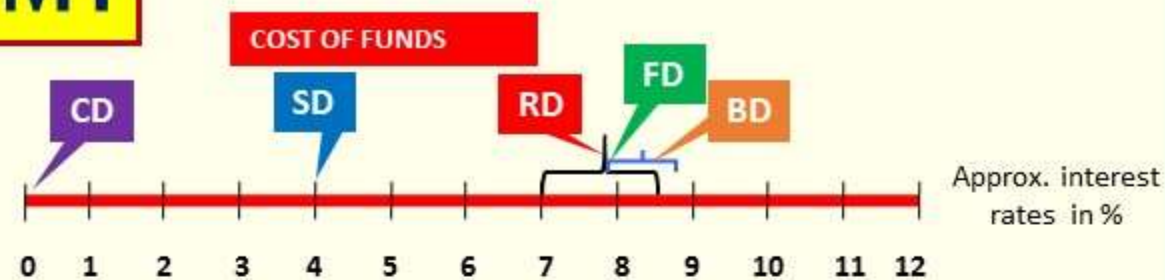
2. CURRENT ACCOUNT

Salient features

- ✓ Firms and companies are eligible to open account
- ✓ Basically meant for businessmen, to run businesses
- ✓ Normally firms / companies / trusts / association of persons can open them
- ✓ It is also called running and active account
- ✓ Carry no interest on deposits
- ✓ No limit on either the number of transactions or the maximum amount of transaction
- ✓ Sometimes banks stipulate higher minimum balance depending on the services offered
- ✓ Overdraft facility (short term loan facility) is available



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CASA RATIO

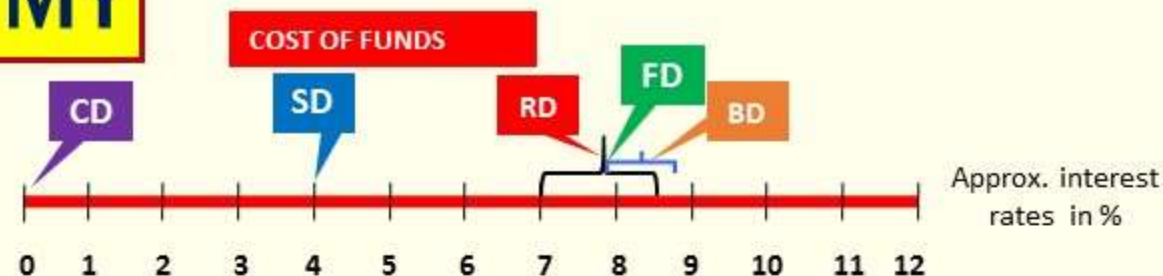
CASA RATIO IS THE RATIO OF THE DEPOSITS IN THE FORM OF CURRENT AND SAVINGS ACCOUNTS TO THE TOTAL DEPOSITS (NORMALLY EXPRESSED IN PERCENTAGE)

CASA RATIO IN %

Bank	CASA (%)
State Bank of India	45.32
Punjab National Bank	38.45
Central Bank	35.16
Allahabad Bank	33.48
Union Bank of India	31.76
Bank of Baroda	28.67
Canara Bank	28.27
Bank of India	24.47
UCO Bank	21.80
IDBI Bank	20.87

Tentative Figures

3. FIXED DEPOSIT ACCOUNTS (TERM DEPOSITS)



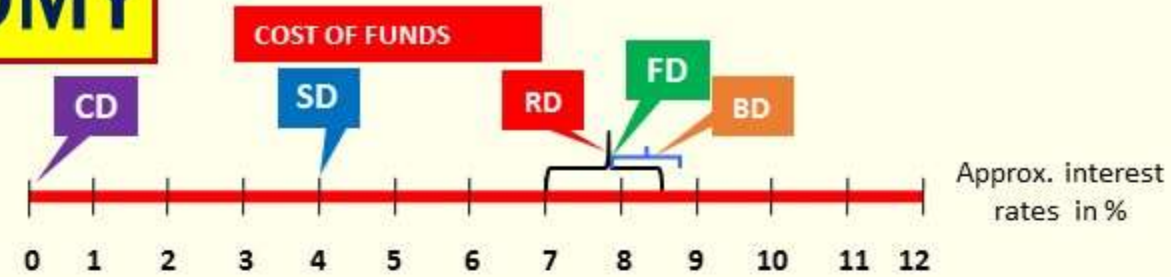
Salient features

- ✓ Can be operated for a tenure ranging from 7 days to 10 years
- ✓ Not payable on demand and do not enjoy cheque facility
- ✓ Interest rates increases with the time period, normally up to 2 to 3 years
 - Approx. 4.5% for 7 day period to 7.5% for 2 year period (this is only tentative)
- ✓ Interest rates can be slightly higher for senior citizens (60 + years of age)
- ✓ Premature withdrawal of the deposits is possible, but it attracts penalty at the rates varying from 0.5% to 1.5% (tentative)
- ✓ If the deposits are Rs 1 crore or more, they come under the bulk deposits and interest rates may vary further
- ✓ Interest will be paid at the contracted rate for the agreed period

4. RECURRING DEPOSITS

Salient features

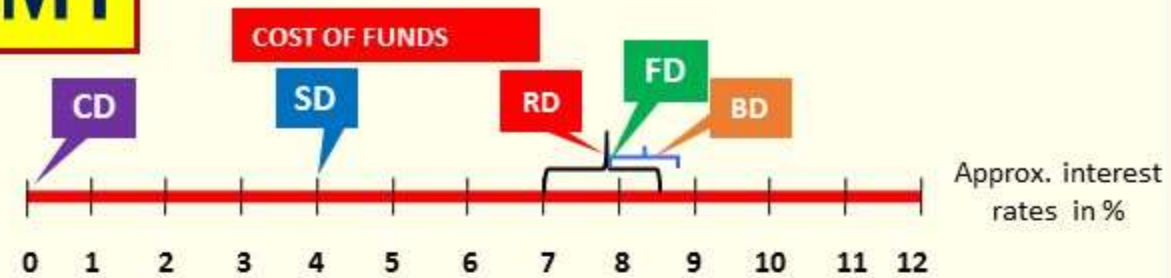
- ✓ Most of the features are like fixed deposits
- ✓ It is a monthly deposit with the bank for an agreed period
- ✓ Interest is credited on the accumulated balance at regular intervals
- ✓ These are designed to induce small savers to save regularly
- ✓ Minimum period and minimum monthly deposit varies from bank to bank
- ✓ Maximum period is normally 120 months (10 years)
- ✓ Loan / overdraft facility is available up to 90% against the balance in RD account
- ✓ Penalty for premature closure



5. BULK DEPOSITS

Salient features

- ✓ Deposits of Rs 1 crore and above constitute bulk deposits
- ✓ Interest rates vary based on the quantum of deposit
- ✓ Sometimes may have high interest rates, so the cost of funds may be high
- ✓ Normally these deposits are obtained from High Net-worth Individuals (HNIs)



In a nut shell, these bulk deposits will be helpful to the banks to maintain asset liability ratio, but it may increase the cost of funds.



- ✓ It is “Know Your Customer”
- ✓ This is customer identification process, prior to the opening of accounts
- ✓ This involves ‘identity’ and “address”
- ✓ To prevent banks being used (intentionally / unintentionally) for money laundering
- ✓ RBI issued guidelines to banks under section 35A of the Banking Regulation Act, 1949 and rule 7 of the money laundering rules, 2005 to prevent banks from misuse
- ✓ It involves (a) “Legal Name Verification”
(b) “Correct Permanent Address”
- ✓ To open a bank account, customer need to submit “Proof of Identity and Proof of Address” with one passport size photograph
- ✓ KYC is to be verified periodically, schedule is given separately for customers classified as
 - Low risk
 - Medium risk
 - High risk
- ✓ If one does not satisfy KYC norms, accounts can still be opened, which are known as “small accounts”

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BANK ACCOUNTS FOR NRIs

- NRO account (Non Resident Ordinary rupee account)
- NRE account (Non Resident External rupee account)
- FCNR(B) account (Foreign Currency Non Resident (Bank) account)



WHO IS NRI (NON RESIDENT INDIAN)?

An Indian citizen, who is ordinarily residing outside India and holds an Indian passport.



1. NRO ACCOUNT (NON RESIDENT ORDINARY RUPEE ACCOUNT)



- ✓ Account will be in Indian rupees and with banks authorized by RBI.
- ✓ This account can also be maintained with the post offices in India
- ✓ Can be opened jointly with resident Indian
- ✓ Mainly used for local transactions in India
- ✓ If a citizen becomes an NRI, his existing account becomes NRO account
- ✓ Can be in the form of SA / CA / RD / FD
- ✓ Interest rates are within the purview of banks
- ✓ Income tax will be deducted as per the rules
- ✓ There is limit on the repatriation of funds. (Maximum of \$ 1 million per year)



2. NRE ACCOUNTS (NON RESIDENT EXTERNAL RUPEE ACCOUNTS)

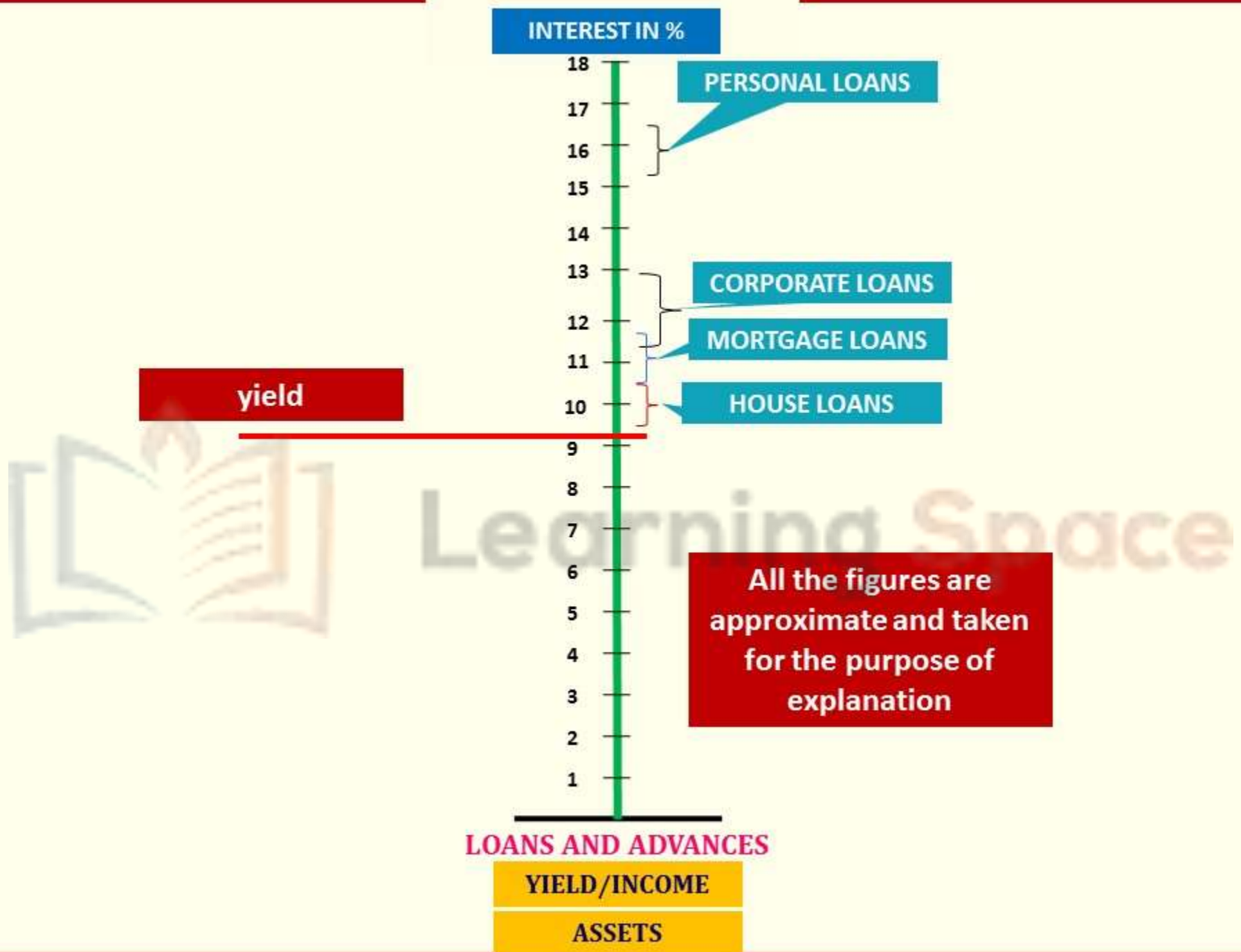


- ✓ Account will be in Indian rupees and with banks authorized by RBI.
- ✓ Can be opened as joint account with another NRI.
- ✓ Can also be opened by the NRI with resident close relative, who is eligible to operate the account as a Power of Attorney holder on “former or survivor basis”.
- ✓ Amount to be deposited in this account is earned on foreign land only.
- ✓ Can be in the form of SA / CA / RD / FD
- ✓ Minimum tenure of term deposits will be 1 year.
- ✓ Banks are free to determine interest rates. However, the interest rates shall not be higher than the comparable domestic rupee deposits
- ✓ No income tax will be deducted in India.
- ✓ Fully repatriable to foreign countries.

3. FCNR(B) ACCOUNTS (FOREIGN CURRENCY NON RESIDENT (BANK) ACCOUNTS)



- ✓ Only fixed deposit accounts can be opened with banks authorized by RBI.
- ✓ Can be opened as joint account with another NRI.
- ✓ Can also be opened by the NRI with resident close relative, who is eligible to operate the account as a Power of Attorney holder on “former or survivor basis”.
- ✓ Minimum term 1 year and maximum term 5 years.
- ✓ Can be maintained in approved foreign currencies.
- ✓ Rates of interest will be as per the RBI guidelines.
- ✓ No income tax will be deducted in India.
- ✓ Fully repatriable to foreign countries.



ECONOMY

SAGA OF LENDING RATES IN BANKING SINCE 2000



BPLR

- It came into **existence** in **2003**.
- It was shelved in 2010 as it was felt that it was **non-transparent**.

BASE RATE

- It came into effect from **1st July, 2010**.
- No loan can be given at **lesser than base rate** with some exceptions.
- Now, it is shelved as it was felt that **monetary transmission** was not taking place.

MCLR

- It came into effect from **1st April, 2016**.
- Here, the cost of funds is **based on marginal costs**.
- It is felt that monetary transmission will be proper, if the **cost of funds** is calculated based on the recent interest rates on deposits

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BASE RATE

- 1 It takes “average cost of funds”, i.e., the average interest rates offered on all the deposits
- 2 It is single rate for any duration of loan and loans are benchmarked against the base rate

MCLR

- 1 It takes “marginal cost of funds” i.e., the latest interest rates offered on deposits
- 2 MCLR is published every month for different maturities, for example – overnight, one month, 3 months, 6 months & one year etc., and loans are benchmarked against a particular MCLR

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BASE RATE

- 3 It was felt that monetary transmission could not take place properly due to the calculation based on average cost of funds
- 4 Due to single base rate, short term loans by the companies have gone out of the banking system, to a larger extent (companies are getting short term loans through Commercial Paper)

MCLR

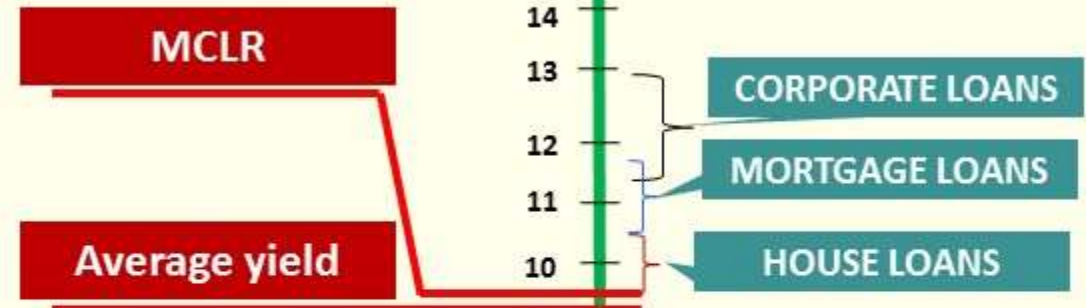
- 3 It is felt that the monetary transmission will be better as only the interest rates on recent deposits are taken
- 4 Now, it is expected that short term loans by companies will come back to the banking system, as loans of shorter duration are expected to have lesser interest

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THE EXEMPTIONS

There are three primary exemptions.

1. Loans granted under DRI (Differential Rate of Interest) scheme.
2. Loans to own employees of the bank, including retired employees.
3. Loans to depositors of the bank against their own deposits.



LOANS AND ADVANCES

YIELD/INCOME

ASSETS

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HOW THE MONEY FLOWS IN THE BANKING SYSTEM...



WE EXPRESS OUR
SINCERE THANKS
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